

INDIAN ECONOMY

**LEVEL
II**



LECTURES

**IMPORTANT TERMINOLOGY WITH
CRYSTAL CLEAR CLARITY - I**

MODULE - 21



RECESSION



- It is the period of general economic decline.
- It is normally accompanied by drop in stock indices as well as increase in unemployment.
- It also causes decline in housing market.
- Normally it lasts longer than few months.
- The definition sometimes includes contraction in GDP for two consecutive quarters or longer.

It is the period, when the economy of a country is not doing well and the conditions for business are bad.

DEPRESSION



- A depression is sustained and severe recession.
- It is severe and prolonged downturn in economic activity.
- It is commonly defined as an extreme recession that lasts two or more years.
- It is characterized by substantial increase in unemployment, bankruptcies and sometimes sovereign debt defaults.

A recession is normal part of business cycle lasting for a period of some months. A depression lasts for years, which is extreme falling economic activity.

CURRENCY MANIPULATION ... CHINA COMES UNDER THE LENS OF WESTERN COUNTRIES!



1 A weaker domestic currency becomes useful, when Governments are trying to attract foreign demand and boost exports.

2 Currency manipulation occurs, when Governments try to artificially tweak the exchange rate to gain an unfair advantage in trade.

3 If Central Bank / State-owned Enterprises buys dollars in the forex market continuously, it can artificially weaken the country's currency.

4 Excessive and undisclosed interventions are not considered fair and these are termed currency manipulations.

Uber

WHAT IS GIG ECONOMY



- This is the new business model of the smartphone era, casual workers providing a service are connected, via an app with the consumers.
- It is the economy, where temporary-flexible jobs are the common place.
- Companies tend to hire part-time workers i.e., freelancers, instead of full-time employees.
- Due to the large number of people willing to work part-time, GIG Economy becomes cheaper.
- It makes it harder for full-time employees to develop fully in their current careers, because temporary employees are often cheaper to hire and more flexible in their availability.

Traditional economy consists of full-time workers, who rarely change positions and instead focus on a life-time career.

WHO ARE GIG WORKERS?

- Gig workers are the workers taking up short term contracts or freelance work and get paid for what they do.
- Technology and Internet are the main drivers. As per Invest India, gig economy in 2021 comprised 25% of urban labour force in services sector.
- Gig economy came up as a silver lining as fewer jobs are being created in organized sector.

Gig workers became all pervasive with the technology-related flexi jobs. Here the companies employ contractual non-permanent employees for short-term work.

ADVANTAGES

- No entry barriers
- Flexibility
- Attractive income (as promised by the companies, at least in the initial stages)
- Not many skills required
- Fits into Indian ecosystem

Benefits to the companies include - less operational cost, no need of social security and easy to hire and fire.



ATTENDANT VULNERABILITIES OF GIG WORKERS

- Luring with more benefits initially with gap between promise and reality.
- No job security and skill upgradation at their own cost.
- No long term social security with lack of insurance / health coverage in general (with very few exceptions).
- Labour laws don't apply. However, the recent Social Security Code has inbuilt provisions for social security for the gig workers.
- Status not clearly defined.
- Impact on health, both physical and mental.
- Variable income with leave and income trade-off.
- No bargaining power of the employees.

WHAT IS THE WAY FORWARD TO PROTECT THE RIGHTS OF THE GIG WORKERS?

- Clear definition and rights of gig workers is the immediate need of the hour.
- The voice of the workers should be in built with proper legislative framework.
- Social security/health insurance should be made mandatory by the company.
- Suitable penalties on companies to avoid luring with false promises.
- Regulation of work hours and developing skills ecosystem for upward mobility.
- There is a need for the Govt. to step-in to regulate gig economy and focus on formalizing it to benefit employers as well as employees.

Human touch and Empathy should become the fulcrum of gig economy!

TAX HAVENS AND PROFIT SHIFTING STRATEGIES BY THE MNCs!

WHAT IS A TAX HAVEN?

- Tax haven is the territory, where taxes are levied at low rates.
- Normally no/abysmally low economic activity here.

Google

amazon

facebook

Microsoft

SEE THE CASE OF A COUNTRY LIKE INDIA!

- It involves substantial economic activity.
- MNCs take away profits to tax havens in the name of IPRs, patent rights, fees, documentation, transfer pricing, royalties etc.
- They pay less overall taxes here, as substantial base is shifted to tax havens, which is known as Base Erosion and Profit Shifting (BEPS).
- Even some companies do not cover under the Income Tax Act as they have no permanent establishment.

THE BAHAMAS

PANAMA

4% to 10% of the entire corporate tax is lost world over due to BEPS!

MAURITIUS

Ocean

DUTY ON IMPORTS ... A SPECIFIC EXAMPLE OF INVERTED DUTY STRUCTURE!



KEY INDUSTRIAL RAW MATERIALS

IMPORT DUTY - 30%



FINISHED PRODUCT

IMPORT DUTY - 5%

BACKWARD AND FORWARD LINKAGES

BACKWARD LINKAGES



FORWARD LINKAGES



MULTIPLIER EFFECT



DIFFERENCES BETWEEN LOOK EAST AND ACT EAST POLICIES

LOOK EAST POLICY

- Launched by the former Prime Minister P.V. Narasimha Rao in **1991**.
- Focus is to shift the Country's trading **emphasis** from the west and neighbours to the booming **South East Asian countries**.
- It is to increase **economic integration** with the South East Asian countries.

Under Act East Policy, the Government is relying on the Culture, Connectivity and Commerce to develop better relations with ASEAN Nations.

ACT EAST POLICY

It revolves around economic and security integration and focused area increased to South East Asia plus East Asia plus other Pacific Countries.



OFFSHORE ASSETS

IS IT ILLEGAL TO HOLD OFFSHORE ASSETS ABROAD?

- In most countries, including India, it is not illegal to have assets offshore or to use shell companies to do business across national boundaries.
- As far as India is concerned, it is violation of the law, if the information is not mentioned in the IT returns and tax is not paid on the earnings from such assets.
- If they do not disclose, they can be taken up under the Black Money (Undisclosed Foreign Income and Assets) and Imposition of Tax Act, 2015.
- The Act provides for payment of 120% of the undisclosed amount as penalty as well as prosecution and jail term.

BENEFICIARY OF FOREIGN TRUST

CAN INDIAN RESIDENT BE A BENEFICIARY OF FOREIGN TRUST?

- Any Indian resident can be a beneficiary of a foreign trust, but the person must disclose it and pay tax on any amount received. But the settler of the trust (someone who established it) must be a non-resident.
- However, non-resident Indians does not have to disclose overseas assets, but once they become residents, they must disclose.



HOW IS THE BLACK MONEY GENERATED IN INDIA CROSSES THE BOUNDARIES?



- It is widely believed that Indians have been stashing away money abroad through under-invoicing of exports and over-invoicing of imports.
- It is deflating export bills and inflating import bills. The balance is parked in the tax havens.
- Some of the money to abroad is through Hawala route i.e., handing over cash to an agent in India, whose counterpart abroad parks it in an overseas bank account.

WHAT DO YOU UNDERSTAND BY LAYERING OF ILLICIT MONEY?



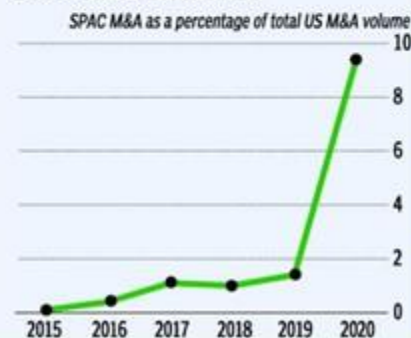
- The process of layering involves moving funds from one shell company in one tax haven to another in another tax haven and liquidating the previous company. This way money is moved through several tax havens before reaching ultimate destination.
- Since the trail is erased at each step, it becomes difficult for authorities to track the flow of funds.
- Over the last three decades, tax havens enabled capital to become highly mobile, forcing nations to lower their tax rates to attract capital.

This led to race to the bottom, resulting in a shortage of resources with governments to provide public goods!

THESE ARE NOTHING BUT SHELL COMPANIES!

- SPACs are shell companies that raise money with the intention of acquiring an existing company with the funds raised in the public offer.
- These companies have no existing business.
- Investors bet on future acquisitions to get due returns.

Unprecedented spike in US SPAC deals of late



SPACs ARE NOT PERMITTED IN INDIA!

- US has been a hot-bed of activity.
- In 2020 alone, these empty corporate shells raised about \$ 84 billion on US Stock Exchanges.
- This was more than the combined amount of about \$ 42 billion raised in the previous five years.

How Does a SPAC Work?



WE EXPRESS OUR
SINCERE THANKS
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